



REPUBLIC OF THE PHILIPPINES
TARIFF COMMISSION

BRIEFER:
REPUBLIC ACT (RA)
NO. 8800, OR THE
SAFEGUARD
MEASURES ACT
(SECTION 712 OF
RA NO. 10863)



BRIEFER:

RA NO. 8800, OR THE SAFEGUARD MEASURES ACT (SECTION 712 OF RA NO. 10863)

SAFEGUARD MEASURES are trade remedy measures adopted by the government to protect a specific domestic industry from an increase in imports of any product which is causing, or which is threatening to cause, serious injury to the industry.

Republic Act (RA) No. 8800, otherwise known as the “**Safeguard Measures Act**,” was signed on 19 July 2000 and took effect on 09 August 2000. The provisions of RA No. 8800, which provide for the application of general safeguard measures, were adopted in Section 712 of RA No. 10863, or the “*Customs Modernization and Tariff Act*”.



WHO MAY FILE A PETITION FOR GENERAL SAFEGUARD MEASURES?

The following may file a petition with the DA (agricultural goods) or the DTI (industrial products):



DOMESTIC PRODUCERS

of like or directly competitive products



THE PRESIDENT OR THE HOUSE OR SENATE COMMITTEE ON AGRICULTURE OR THE HOUSE OR SENATE COMMITTEE ON TRADE AND COMMERCE



DA OR DTI SECRETARY



ROLE OF THE TARIFF COMMISSION IN GENERAL SAFEGUARDS INVESTIGATIONS

- Conducts formal investigations of the safeguard measure cases endorsed by the DA (for agricultural goods) or the DTI (for industrial products) following positive preliminary findings
- Conducts investigations on the following: (a) Monitoring of the domestic industry, (b) Reduction, modification, and termination of safeguard action, (c) Extension and re-application of safeguard duty, and (d) Evaluation to determine the effectiveness of actions taken by the domestic industry



FILING FEES

TC's schedule of fees and charges is prescribed in **Office Memorandum No. 18-010**.

Filing Fee	PHP 20,000.00
Legal Research Fund	PHP 200.00

ELEMENTS FOR THE IMPOSITION OF A GENERAL SAFEGUARD MEASURE

In a safeguard measure petition, all four elements must be established.



LIKE PRODUCTS OR DIRECTLY COMPETITIVE PRODUCTS

Like - Goods that are identical or have characteristics closely resembling the product under consideration

Directly Competitive - Goods that are substitutable products to the product under consideration



INCREASED IMPORTS

Either in absolute terms or relative to domestic production; the increase should be recent, sharp, and significant



SERIOUS INJURY OR THREAT THEREOF

Overall impairment in the domestic industry



CAUSALITY

Overall assessment that the serious injury is the direct result of increased imports

Resources

TC Website

www.tariffcommission.gov.ph

TC Citizen's Charter

Detailed checklist and step-by-step procedures available on the TC website

Commission Order No. 2021-02

Revised Rules of Procedure for the Conduct of Formal Investigations Pursuant to Republic Act No. 8800

1. What are safeguard measures?

Safeguard measures are trade remedy measures adopted by the government to protect a specific domestic industry from an increase in imports of any product which is causing, or which is threatening to cause, serious injury to the industry.

2. What is the domestic law on the application of safeguard measures?

Republic Act (RA) No. 8800, otherwise known as the “*Safeguard Measures Act*”, was signed on 19 July 2000 and took effect on 09 August 2000. It provides for:

- a. general safeguard measures to relieve domestic industries suffering from serious injury as a result of increased imports; and
- b. special safeguard measures on agricultural products marked “SSG” in Schedule LXXV-Philippines when the import volume exceeds its trigger level or when the import price falls below a trigger price level.

The provisions of RA No. 8800, which provide for the application of general safeguard measures to give the affected domestic industry time to make a positive adjustment to import competition, were adopted in Section 712 of RA No. 10863, or the “*Customs Modernization and Tariff Act*”.

3. What are the elements for the imposition of a general safeguard measure?

There are four elements for the imposition of a general safeguard measure, namely:

- a. *Like Product or Directly Competitive Product*
 - i. Like product - shall mean a domestic product which is identical, i.e., alike in all respects, to the imported product under consideration, or in the absence of such a product, another domestic product which, although not alike in all respects, has characteristics closely resembling those of the imported product under consideration.
 - ii. Directly competitive product - shall mean domestically produced substitutable products.
- b. *Increased Imports* - either in absolute terms or relative to domestic production; the increase should be recent, sharp, and significant.
- c. *Serious injury or threat thereof*
 - i. Serious injury - shall mean a significant impairment in the position of a domestic industry after evaluation by competent authorities of all relevant factors of an objective and quantifiable nature having a bearing on the situation of the industry concerned, in particular, the rate and amount of the increase in imports of the product concerned in absolute and relative terms, the share of the domestic market taken by increased imports, changes in levels of sales, production, productivity, capacity utilization, profit and losses, and employment
 - ii. Threat of serious injury - shall be understood to mean serious injury that is imminent
- d. *Causality* – refers to the overall assessment that the serious injury suffered by the domestic industry is the direct result of increased imports of the product under consideration.

In a safeguard measure petition, all four elements must be established.

4. Who may file a petition for general safeguard measures?

For general safeguard measures, the following may file a petition:

- a. Domestic producers as a whole of like or directly competitive products manufactured or produced in the Philippines, or those whose collective output of like or directly competitive products constitutes a major proportion of the total domestic production of those products;
- b. The President, or the House or Senate Committee on Agriculture, or the House or Senate Committee on Trade and Commerce; and
- c. The Secretary of Trade and Industry or the Secretary of Agriculture, *motu proprio*, if there is evidence of increased imports of the product under consideration.

Petitions for general safeguard action shall be filed with the Department of Trade and Industry (DTI) for non-agricultural products, or with the Department of Agriculture (DA) Secretary in cases relating to agricultural products.

5. What is the role of the Tariff Commission in general safeguards investigations?

The Tariff Commission (TC) conducts formal investigations of the safeguard measure cases endorsed to it by the DA (for agricultural goods) or the DTI (for industrial products). To note, RA No. 8800 provides that the DA and the DTI shall undertake a preliminary determination and shall endorse the case to the TC for formal investigation when their preliminary findings are positive.

The TC submits a Report of findings and recommendations to the Secretary of the DA or the DTI on whether or not to impose a definitive general safeguard measure. In case of affirmative findings, the concerned Secretary issues a Department Order imposing a general safeguard measure.

The TC also conducts investigations on the following:

- a. *Monitoring of the domestic industry* – so long as the definitive measure is in effect, the TC shall monitor developments in the domestic industry, including the progress and specific efforts made by workers and firm in said industry to make a positive adjustment to import competition;
- b. *Reduction, modification, and termination of safeguard action* – upon receipt of a request from the Secretary, the TC shall conduct an investigation to determine the merits for the reduction, modification, or termination of safeguard action;
- c. *Extension and re-application of safeguard duty* – upon receipt of a request from the Secretary, the TC shall conduct an investigation to determine if the safeguard action continues to be necessary to prevent or remedy the serious injury and there is evidence that the domestic industry is making positive adjustment to import competition; and
- d. *Evaluation to determine the effectiveness of actions taken by the domestic industry* – after the termination of the application of the definitive general safeguard measure, the TC shall evaluate the effectiveness of the actions taken by the domestic industry in facilitating positive adjustment to import competition.

6. *Are there fees to be paid by petitioners in the formal investigations by the TC of a general safeguards case?*

The TC's schedule of fees and charges is prescribed in Office Memorandum No. 18-010. Formal investigations on petitions for the imposition of safeguard measure and extension of imposition are subject to a Filing Fee of Twenty Thousand Pesos (PHP 20,000.00) and Legal Research Fund Fee of Two Hundred Pesos (PHP 200.00) per case.

7. *What is the timetable for the completion of a formal investigation by the TC?*

The TC shall conclude its formal investigation and submit a Report of its findings and conclusions to the Secretary within one hundred twenty (120) calendar days from receipt of the request from the Secretary, except when the Secretary certifies that the same is urgent, in which case the Commission shall complete the investigation and submit the Report within sixty (60) calendar days.

Upon its positive determination, the Commission shall recommend to the Secretary an appropriate definitive measure.

8. *How is a general safeguard measures investigation conducted by the TC?*

The TC's rules of procedure in the conduct of a formal investigation in a safeguard measure case are contained in Commission Order No. 2021-02 entitled "*Revised Rules of Procedure for the Conduct of Formal Investigations Pursuant to Republic Act No. 8800*". The checklist of requirements and the step-by-step procedure can also be found in the TC Citizen's Charter. The Order and the Citizen's Charter are on the TC website.